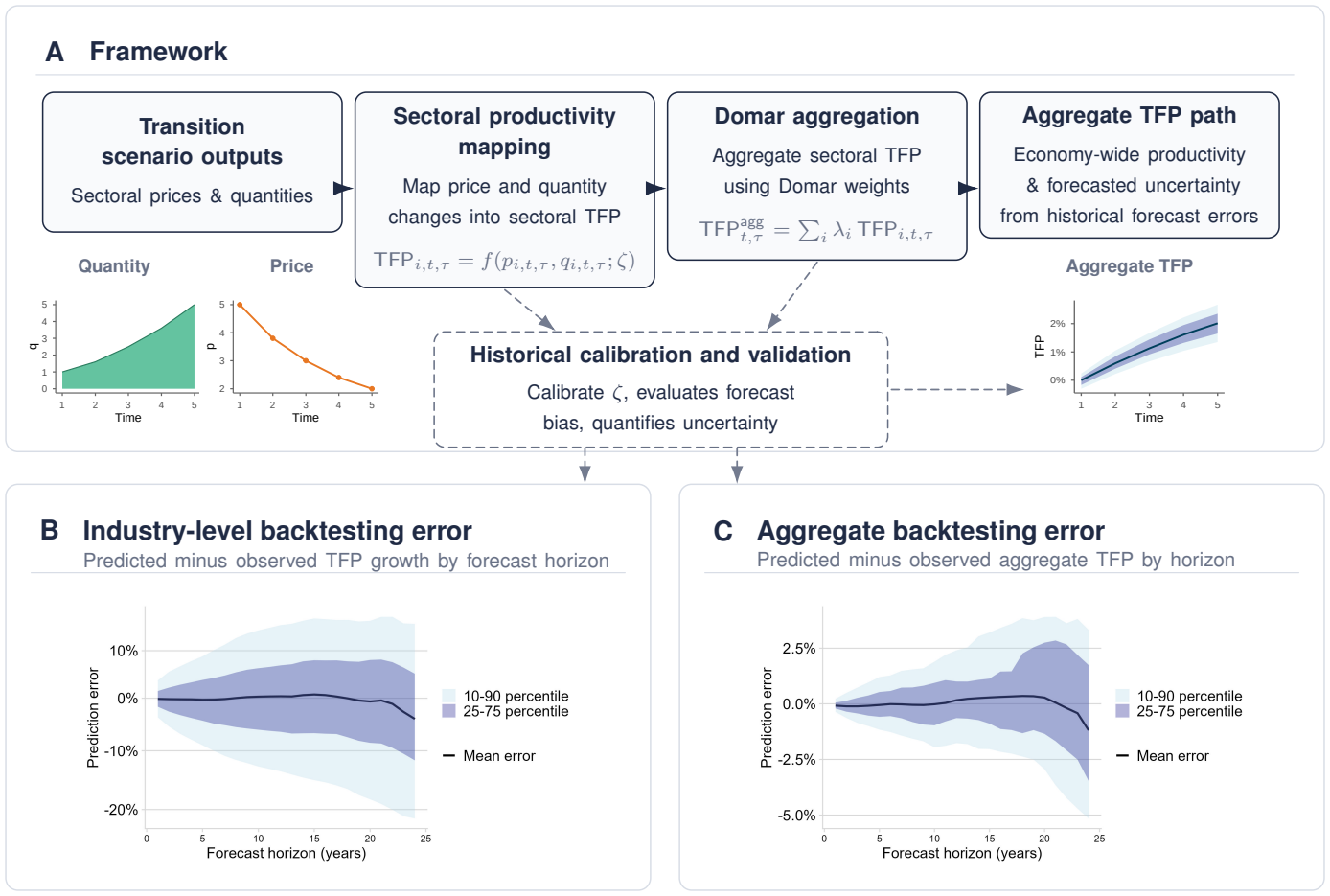

A Framework
Transition scenario outputs
Sectoral prices & quantities
Sectoral productivity mapping
Map price and quantity changes into sectoral TFP
$\text{TFP}_{i,t,\tau} = f(p_{i,t,\tau}, q_{i,t,\tau}; \zeta)$
Domar aggregation
Aggregate sectoral TFP using Domar weights
$\text{TFP}^{\text{agg}}_{t,\tau} = \sum_i \lambda_i \, \text{TFP}_{i,t,\tau}$
Aggregate TFP path
Economy-wide productivity & forecasted uncertainty from historical forecast errors
Quantity
Price
Aggregate TFP
q
p
TFP
Time
Historical calibration and validation
Calibrate ζ, evaluates forecast bias, quantifies uncertainty
B Industry-level backtesting error
Predicted minus observed TFP growth by forecast horizon
Prediction error
Forecast horizon (years)
10-90 percentile
25-75 percentile
Mean error
C Aggregate backtesting error
Predicted minus observed aggregate TFP by horizon
Prediction error
Forecast horizon (years)
10-90 percentile
25-75 percentile
Mean error